STILL SEEKING SUCCOUR

Most hit by the pandemic, MSMEs need continued help to tackle the present business uncertainties and low demand

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TWO YEARS OF THE pandemic perhaps exacted their heaviest toll on MSMEs (micro, small and medium scale enterprises), with several units reportedly shutting down, throwing millions out of jobs. India's 63.5 million MSMEs account for 45 per cent of its manufacturing output, 40 per cent of exports and employ about 120 million. A majority of these units are still struggling due to high input costs and low demand. The Centre had as part of its May 2020 relief package announced an Emergency Credit Line Guarantee Scheme (ECLGS) for MSMEs. It saw disbursals of over Rs 3 lakh crore till December 2021. But ECLGS was meant only for MSMEs that had already taken a loan, leaving others stranded.

As many as 68 per cent of the MSMEs are in the services sector and the rest in manufacturing. When Narayan Rane inherited the portfolio in July 2021, his predecessor Nitin Gadkari had already set in motion the process to give the ministry a facelift. Three key decisions gave the sector a long-awaited fillip. One, the new classification of MSMEs, which became effective from July 1, 2020, made more enterprises eligible for funds. Thus, a business where the investment did not exceed Rs 1 crore and the turnover was within Rs 5 crore qualified as a micro enterprise, one where investment was within Rs 10 crore and turnover Rs 15 crore was deemed a small enterprise while those where investment was under Rs 50 crore and turnover within Rs 250 crore were treated as medium enterprises. Two, manufacturing and service industry began to be treated at par. Three, the Union government brought retail and wholesale traders as also urban street vendors under the MSME umbrella in 2021.

What also worked as a booster shot was the policy to make it mandatory for all central public sector undertakings (CPSUs) to procure 25 per cent of their requirements from MSMEs. In 2021-22, CPSUs procured goods and services worth Rs 24,363 crore from 117,583 MSEs. Procurement from SC/ST enterprises went up to 0.78 per cent in 2021-22 from 0.52 per cent in 2020-21, and those run by women to 0.80 per cent from 0.45 per cent in the same period.

With the Russia-Ukraine war and global inflation making their situation worse, what the sector hopes for is another fillip through control of raw material prices, easing of NPA norms and direct financial assistance rather than loans. ■

WORK DONE

- At 99.3 per cent, MSMEs have maintained highest grievances redressal rate
- Locations for 20 technology centres are finalised, land acquired for 10 of them
- Loan of Rs 54,776 crore for micro and small enterprises disbursed under 59-minute loan schme

CHALLENGES AHEAD

- Expedite clusters for pharma MSMEs from the current four proposals in Maharashtra, Andhra Pradesh and Madhya Pradesh
- Contain the decline in export of coir, a fibre made out of coconut
- Utilise increased budgetary allocation for MSMEs in labour-intensive domains
- Allocate more funds to technology upgradation